Registration number 5102915

Bradford City Football Club Limited

Financial statements

for the year ended 30 June 2022



Bradford City Football Club Limited

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Bradford City Football Club Limited

Directors and other information

Directors	S A Rupp (Chairman) A K Biggin FCA
Secretary	A K Biggin FCA
Company number	5102915
Registered office	University of Bradford Stadium Valley Parade Bradford BD8 7DY
Business address	University of Bradford Stadium Valley Parade Bradford BD8 7DY
Bankers	Barclays Bank PLC Leicester LE87 2BB

Directors Report

The directors present their report and the unaudited financial statements of the company for the year ended 30 June 2022.

Directors

The directors who served the company during the year were as follows:

Stefan Albert Rupp
Alan Keith Biggin FCA

Small company provisions

This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

REVIEW OF BUSINESS

During the year under review the club has finished the season in a disappointing position of 14th place in League Division 2, the third tier of the English Football League. This was an improvement of one place from the previous season but this does not reflect the potential of the facilities, support and undertaking of the football club.

On 22nd February during this season Derek Adams was replaced as team manager by Mark Hughes, a high profile, former Premier League and International player and extremely well respected manager.

With regards to other competitions during the season under review, the club exited the FA Cup against Exeter City at the first round which was not without some controversy, concerning the opposition and an ineligible player.

Similarly in the EFL (Carabao) Cup the club exited in the first round 2-1at the City Ground, Nottingham after a very resilient performance against a very good Championship Club, Nottingham Forest.

With reference to the EFL Trophy, we failed at the first hurdle which resulted in our non-qualification to round 2.

The number of senior players registered were probably a little in excess of the divisional average and 33 professional players were utilised during the season (plus 6 loan players).

As referred to above, the season became rather disappointing and it was fairly obvious we would not be in the play-offs unless we had an exceptional run of form which unfortunately did not materialise until the very end of the season. The appointment of our new manager Mark Hughes and his assistant Glyn Hodges certainly had some effect in galvanising support for the club and our season ticket sales for the following 22/23 season have been outstanding as a result of some revived optimism.

Partly in consequence of the above, the club, has generated a reduced fiscal loss of £299,484 (2021 deficit £845,487) and had net liabilities of (£813,315) in the previous year increased to an overall deficiency of (£1,112,799) as at 30th June 2022.

Bradford City Football Club Limited

Directors Report

PRINCIPLE RISKS AND UNCERTAINTIES

As with all businesses there are risks and uncertainties but with football there are unique considerations of the *sometimes* conflicting interests of owners, supporters and players. All these can be handled successfully to the benefit of all parties but it does require a careful and considered strategy.

Where appropriate there are processes in place to monitor and mitigate, covering such areas as, competitive tendering, marketing and key personnel retention.

These are to provide assurance to the Board of Directors, in managing risk whilst achieving the business objective. No system is without risk and occasionally it is unavoidable but it must be evaluated.

It is perceived that the key risks are as briefly outlined here:

On Pitch performance

Obviously, the better the club performs and the more successful it becomes, the nature of the risk changes. Promotion will incur significant extra costs and additional key personnel but subject to management controls, the extra income will/should more than compensate. Conversely should the club be relegated to the National League costs would increase, disproportionately to income and that risk would also require managing. These are "core" risks.

Financial Instability

As explained in previous financial statements the club has a policy of operating with budget (base) deficits which assume automatic elimination from all cup competitions and therefore no income is reserved for, no player disinvestment considered and attendances are based on historic commercial performances (subject to review). This basis then produces conservative outflows to provide management decisions governing issues such as player acquisitions, costs and transfer fees. It is generally accepted that actual figures tend to outperform base budgets. Surpluses are reinvested within the club.

Safeguarding and Health and Safety

The club operates, as would be expected, a strong Safeguarding and Health and Safety Programme and has key employees dedicated to full time roles in these areas. All issues raised are reviewed monthly, along with monitoring controls governing these notifications. All directors and key personnel have completed mandatory safeguarding training demanded by EFL. It is the club's all encompassing philosophy that the University of Bradford Stadium environment is safe, open and welcoming for all supporters and visitors to the ground.

Salary Management Cost Protocol (SMCP)

Under English Football League rules the club is bound by the formalities of this covenant to organise its affairs in a financially sound and professional manner to ensure that management controls are effective. For league two teams this requires, clubs to control their player wages and salary costs at a pre-determined level in relation to turnover (as defined). This is currently at a level of 55% and as a club we comply with this determination as part of our overarching policy of good prudent management. This level and the requirements vary as to what level we are performing at.

RESULTS

The club income statement is set out on page 6

The significant figures here as follows;

(a) Gross profitability has increased from £68,425 in 2021 to £1,112,917 in 2022 . This is analysed over the relevant income streams.

	2022	2021
	£	£
Football Income (Less stadium costs)	(72,504)	(186,704)
Shop Franchise Income	174,323	105,875
Bar Sales and Catering	146,092	(72,293)
Commercial Sales Income	507,110	245,530
Youth Income	379,814	(25,837)
Donations/Lottery	(21,918)	1,854
Total Gross Profit before overheads	1,112,917	68,425

(b) Net transfer income of £459,219 has been generated in this current year and is included in football and youth income.

(c) Net loss of £845,487 in 2021 has been augmented by a further loss in the current year of £299,484.

(d) Net liabilities have increased from an adverse deficiency in 2021 of (£813,315) to an adverse deficiency of (£1,112,799) in 2022.

(e) Other creditors have increased from £1,748,830 to £2,753,795 largely as a result of Income received for season ticket sales and commercial activities which refers to the 2022/2023 season and is correctly deferred.

(f) Average attendances have been at a level of 13,906 over the season after the previous year's crowd eradication and could be considered very satisfactory.

The main factors for the reduction in losses are

(i) The income from transfer fees of £459,219 as described above. These are incidental fees relating to First Team players but also fees received for relatively unknown youngsters with perceived potential.

(ii) As a result of the football league activities commencing once more, there has been a desire to renew the habits prior to lockdown. Consequently ticket sales were better than expected and have been instrumental in reducing losses along with a substantial contribution from "I Follow". Together the budget has been improved by over £300,000.

(iii) The club could no longer take advantage of the UK Government Furlough Scheme but has received substantial "solidarity" payments both from the EFL and the FAPL.

THE FUTURE PERSPECTIVE

Football

Unequivocally the desire at this football club is to play football as successfully as we can within the financial constraints that exist in every commercial operation. These constraints can and do vary and where this is positive, then opportunity is provided to manage more successfully. We will take every break to maximise and improve the position of the club from its present mid table League 2 position. As stated in previous financial documents It is the objective of the Board to build a squad of players and develop infrastructure. This will provide a platform from which the club can successfully move forward, year on year, fully utilising academy and development systems as appropriate. The ultimate intent being to provide the City of Bradford and the club's supporters with an enterprise of which they can be proud and an asset which would be a fulcrum of Community Involvement.

Fiscal stability and prudent long term investment

Consequently the club must maintain and increase its fiscal stability based on the current income streams generation. It is the intention of the club to take every propitious situation to maximise commercial relationships and generate new and increased income streams. Trading Losses other than for carefully considered investment for longer term fiscal reward will be avoided insofar as we are able to control these destructive elements.

Community Involvement

We as a club are part of a significantly multi cultured city here in Bradford which is also one of the largest cities in the United Kingdom. It is our intention to develop our community involvement so far as we possibly can throughout the district. This is for the benefit of all the good citizens of this district and to promote social inclusion, positive community values and healthy lifestyles however and wherever we can.

Coronavirus Pandemic

We are now hopefully through the limitations of the Coronavirus Pandemic and able to enjoy our football again. We do not expect any further monies from Government Schemes under this criteria and now look forward to developing our club as a commercial and financially self sustaining organisation by continuing to develop its capabilities.

Going Concern

The directors consider the club to be able to continue as a going concern along with the acknowledged commitment of all relevant parties and conclude that these accounts reflect the going concern basis in the financial statements.

The club is subject to the normal constraints and difficulties all businesses encounter and the financial position reflects this challenge. Without the considerable help of all staff members throughout the organisation the problems would have been very difficult to address and we would not be able to cope and deal with these issues as satisfactorily.

This report was approved by the board of directors on 25 March 2023 and signed on behalf of the board by:

A K Biggin FCA
Director & Secretary

Statement of comprehensive income
Year ended 30 June 2022

	Note	2022 £	2021 £
Turnover		7,096,690	4,986,266
Cost of sales		(5,983,773)	(4,917,841)
Gross profit		1,112,917	68,425
Stadium costs		(410,203)	(215,996)
Administrative expenses		(1,174,217)	(1,066,998)
Other operating income		172,019	375,447
Operating (loss)/profit		(299,484)	(839,122)
Interest payable and similar expenses		-	(6,365)
(Loss)/Profit before taxation	4	(299,484)	(845,487)
Tax on profit/(loss)		-	-
(Loss)/Profit for the financial year		(299,484)	(845,487)

All the activities of the company are from continuing operations.

The notes on pages 10 to 14 form part of these financial statements.

Bradford City Football Club Limited

Statement of financial position
30 June 2022

	Note	2022 £	£	2021 £	£
Fixed assets					
Intangible assets	5	177,567		164,967	
Tangible assets	6	1,395,091		1,285,217	
Investments	7	100		100	
			1,572,758		1,450,284
Current assets					
Stocks		8,518		-	
Debtors	8	2,626,133		633,383	
Cash at bank and in hand		369,512		1,466,397	
		3,004,163		2,099,780	
Creditors: amounts falling due within one year	9	(3,989,720)		(2,663,379)	
Net current liabilities			(985,557)		(563,599)
Total assets less current liabilities			587,201		886,685
Creditors: amounts falling due after one year	10	(1,700,000)		(1,700,000)	
			(1,700,000)		(1,700,000)
Net (liabilities)/assets			(1,112,799)		(813,315)
Capital and reserves					
Called up share capital			3,000,003		3,000,003
Profit and loss account			(4,112,802)		(3,813,318)
Shareholders (deficit)/funds			(1,112,799)		(813,315)

For the year ending 30 June 2022 the company was entitled to exemption from audit under section 477 of the Companies Act 2006 relating to small companies.

Directors responsibilities:

- The members have not required the company to obtain an audit of its financial statements for the year in question in accordance with section 476;
- The directors acknowledge their responsibilities for complying with the requirements of the Act with respect to accounting records and the preparation of financial statements.

The notes on pages 10 to 14 form part of these financial statements.

Statement of financial position (continued)
30 June 2022

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime and in accordance with Section 1A of FRS 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'.

These financial statements were approved by the board of directors and authorised for issue on 14 March 2023, and are signed on behalf of the board by:

A K Biggin FCA
Director

Company registration number: 5102915

Bradford City Football Club Limited

Statement of changes in equity
Year ended 30 June 2022

	Called up share capital	Profit and loss account	Total
	£	£	£
1 July 2020	3,000,003	(2,967,831)	32,172
(Loss) for the year		(845,487)	(845,487)
Total comprehensive deficit for the year	-	(845,487)	(845,487)
At 30 June 2021 and 1 July 2021	3,000,003	(3,813,318)	(813,315)
(Loss) for the year		(299,484)	(299,484)
Total comprehensive deficit for the year	-	(299,484)	(299,484)
At 30 June 2022	3,000,003	(4,112,802)	(1,112,799)

1. General information

The company is a private company limited by shares, registered in England and Wales. The address of the registered office is University of Bradford Stadium, Valley Parade, Bradford, BD8 7DY.

2. Statement of compliance

These financial statements have been prepared in compliance with the provisions of FRS 102, Section 1A, 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. The Triennial review 2017 amendments to the standard have been early adopted.

3. Accounting policies

Basis of preparation

The financial statements have been prepared on the historical cost basis, as modified by the revaluation of certain financial assets and liabilities measured at fair value through profit or loss.
The financial statements are prepared in sterling, which is the functional currency of the entity.

Turnover

Turnover is measured at the fair value of the consideration received or receivable for goods supplied and services rendered, net of discounts and Value Added Tax.
Revenue from the sale of goods is recognised when the significant risks and rewards of ownership have transferred to the buyer (usually on despatch of the goods); the amount of revenue can be measured reliably; it is probable that the associated economic benefits will flow to the entity; and the costs incurred or to be incurred in respect of the transactions can be measured reliably.

Taxation

The taxation expense when applicable represents the aggregate amount of current and deferred tax recognised in the reporting period. Tax is recognised in the statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in capital and reserves. In this case, tax is recognised in other comprehensive income or directly in capital and reserves, respectively.
Current tax is recognised on taxable profit for the current and past periods. Current tax is measured at the amounts of tax expected to pay or recover using the tax rates and laws that have been enacted or substantively enacted at the reporting date.
Deferred tax is recognised in respect of all timing differences at the reporting date. Unrelieved tax losses and other deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Deferred tax is measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date that are expected to apply to the reversal of the timing difference.

Operating leases

Lease payments are recognised as an expense over the lease term on a straight-line basis. The aggregate benefit of lease incentives is recognised as a reduction to expense over the lease term, on a straight-line basis.

Goodwill

Goodwill arises on business acquisitions and represents the excess of the cost of the acquisition over the company's interest in the net amount of the identifiable assets, liabilities and contingent liabilities of the acquired business.

Goodwill is measured at cost less accumulated amortisation and accumulated impairment losses. It is usually amortised on a straight line basis over its useful life. Where a reliable estimate of the useful life of goodwill or intangible assets cannot be made, the life is presumed to be written off as appropriate.

Amortisation

Amortisation is calculated so as to write off the cost of an asset, less its estimated residual value, over the useful life of that asset as follows:

If there is an indication that there has been a significant change in amortisation rate, useful life or residual value of an intangible asset, the amortisation is revised retropectively to reflect the new estimates.

Tangible assets

Tangible assets are initially recorded at cost and are subsequently stated at cost less any accumulated depreciation and impairment losses.

Any tangible assets carried at revalued amounts are recorded at the fair value at the date of revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

An increase in the carrying amount of an asset as a result of a revaluation, is recognised in other comprehensive income and accumulated in capital and reserves, except to the extent it reverses a revaluation decrease of the same asset previously recognised in profit or loss. A decrease in the carrying amount of an asset as a result of revaluation is recognised in other comprehensive income to the extent of any previously recognised revaluation increase accumulated in capital and reserves in respect of that asset. Where a revaluation decrease exceeds the accumulated revaluation gains accumulated in capital and reserves in respect of that asset, the excess shall be recognised in profit or loss.

Depreciation

Depreciation is calculated so as to write off the cost or valuation of an asset, less its residual value, over the useful economic life of that asset as follows:

Long leasehold property	-	Straight line over life of lease or as appropriate
Plant and machinery	-	10% straight line
Fittings fixtures and equipment	-	10% straight line
Motor vehicles	-	15% straight line
Computer equipment	-	10% straight line

If there is an indication that there has been a significant change in depreciation rate, useful life or residual value of tangible assets, the depreciation is revised retrospectively to reflect the new estimates.

Fixed asset investments

Fixed asset investments are initially recorded at cost, and subsequently stated at cost less any accumulated impairment losses. Listed investments are measured at fair value with changes in fair value being recognised in profit or loss.

Defined contribution plans

Contributions to defined contribution plans are recognised as an expense in the period in which the related service is provided. Prepaid contributions are recognised as an asset to the extent that the prepayment will lead to a reduction in future payments or a cash refund.

When contributions are not expected to be settled wholly within 12 months of the end of the reporting date in which the employees render the related service, the liability is measured on a discounted present value basis. The unwinding of the discount is recognised in finance costs in profit or loss in the period in which it arises.

4. Profit/loss before taxation

Profit/loss before taxation is stated after charging/(crediting):

	2022	2021
	£	£
Net Depreciation of tangible assets	74,078	66,118

5. Intangible assets

	Goodwill	Total
	£	£
Cost		
At 1 July 2021 and 30 June 2022	177,567	177,567
Amortisation		
At 1 July 2021 and 30 June 2022	-	-
Carrying amount		
At 30 June 2022	177,567	177,567
At 30 June 2021	177,567	117,567

6. Tangible assets

	Long Leasehold Property	Plant and equipment	Fixtures fittings	Computer Equipment	Total
	£	£	£	£	£
Cost					
At 1 July 2021	276,215	1,231,000	90,168	104,107	1,701,490
Additions	51,873	12,559	109,818	9,702	183,952
At 30 June 2022	328,088	1,243,559	199,986	113,809	1,885,442
Depreciation					
At 1 July 2021	104,200	205,155	56,505	50,413	416,273
Charge for the year	28,923	26,148	11,309	7,698	74,078
At 30 June 2022	133,123	231,303	67,814	58,111	490,351
Carrying amount					
At 30 June 2022	194,965	1,018,867	133,146	48,113	1,395,091
At 30 June 2021	172,015	1,025,845	33,663	53,694	1,285,217

7. Investments

	Shares in group undertakings and participating interests	Other investments other than loans	Total
	£	£	£
Cost			
At 1 July 2021 and 30 June 2022	100	28,331	28,431
Impairment			
At 1 July 2021 and 30 June 2022	-	28,331	28,331
During the year	-	-	-
Carrying amount			
At 30 June 2021	100	-	100
At 30 June 2022	100	-	100

8. Debtors

	2022	2021
	£	£
Trade debtors	2,038,141	344,654
Other debtors	587,992	288,729
	2,626,133	633,383

9. Creditors: amounts falling due within one year

	2022	2021
	£	£
Bank and other loans and overdrafts	179,928	172,234
Trade creditors	521,782	326,733
Social security and other taxes	534,215	415,582
Other creditors	2,753,795	1,748,830
	3,989,720	2,663,379

10. Creditors: amounts falling due after more than one year

	2022	2021
	£	£
Other creditors	1,700,000	1,700,000